

CATÓLICA-LISBON
INVESTMENT PARTNERS

INVESTMENT BANKING | M&A Deck

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Executive Summary

Strategic rationale, deal structure, and recommendation

PROPOSED TRANSACTION	Kering S.A. proposes a recommended public tender offer for 100% of Moncler Group S.p.A., financed through a mix of cash (45%), new debt (50%), and Kering stock (5%). Moncler to be delisted from Borsa Italiana upon closing.
PURCHASE PRICE / PREMIUM	Illustrative offer price of €64.63 per share, implying an equity purchase price of ~€17.5bn and a control premium of 20.0% to the current share price of €53.86.
STRATEGIC RATIONALE	Moncler addresses key structural weaknesses in Kering's current portfolio, leading to less Gucci concentration (from 40% to 33% of revenue), adding specialist category authority in luxury outerwear, strengthening Asian exposure (52% of Moncler brand sales), and immediately upgrading group EBIT margin from 11.1% to 15.8%.
EXPECTED SYNERGIES	Estimated FY2030E run-rate synergies of ~€107m (€69m cost + €38m revenue), primarily from back-office efficiency, supply chain coordination, and digital infrastructure, captured at group level without brand-level integration.
KEY VALUATION CONCLUSIONS	Offer price of €64.63 per share supported by a football field across seven methodologies, with the DCF range of €50–65/share anchoring fair value at the upper end.
RECOMMENDATION	We recommend proceeding with a negotiated approach to Remo Ruffini as a precondition to any public announcement — a hostile offer is structurally implausible and value-destructive. Pre-closing conditions include LVMH / Double R legal review, financing commitment, and rating agency pre-notification to preserve BBB+ floor.

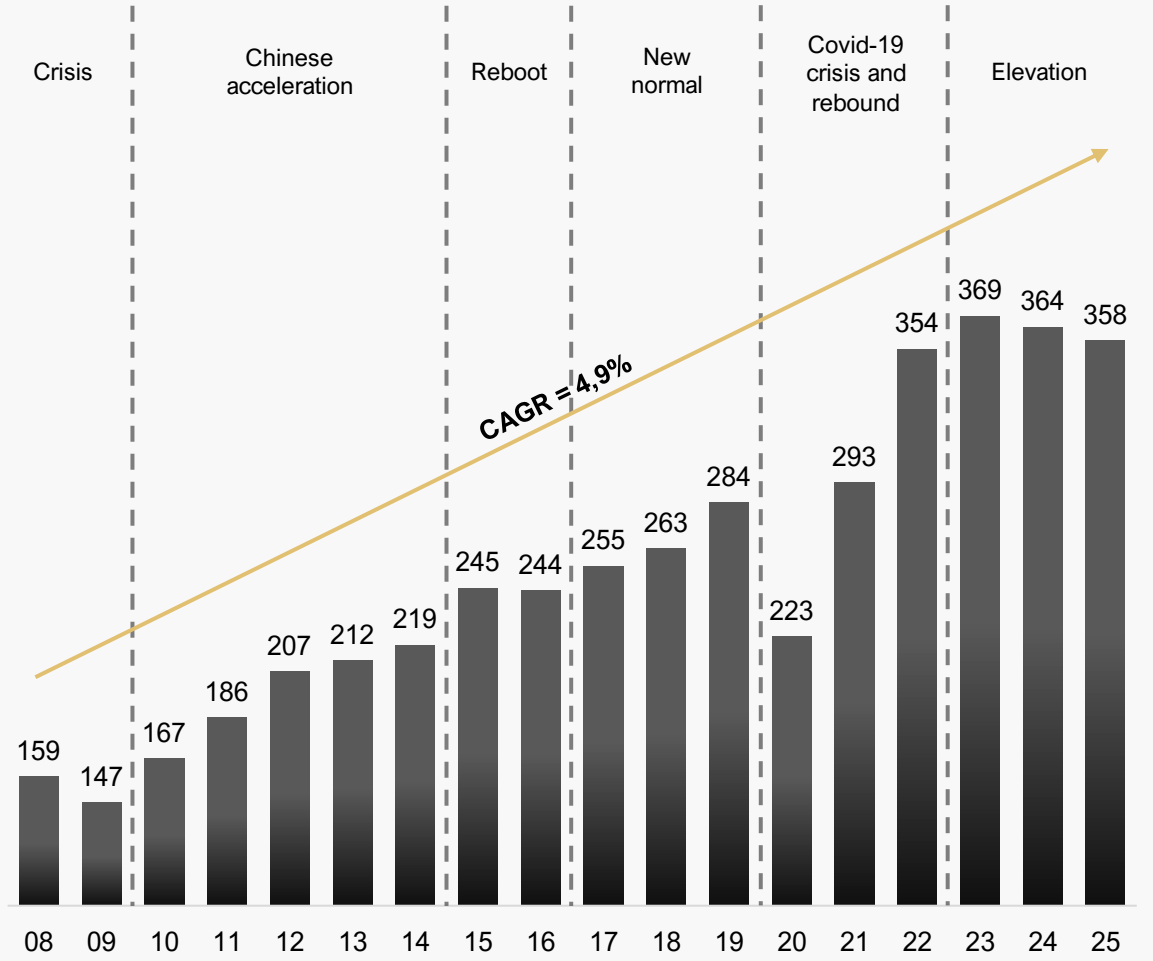
Luxury Industry in Transition

The Post-Pandemic Boom is Over

Normalization, not structural decline – but the rules of winning have fundamentally changed.

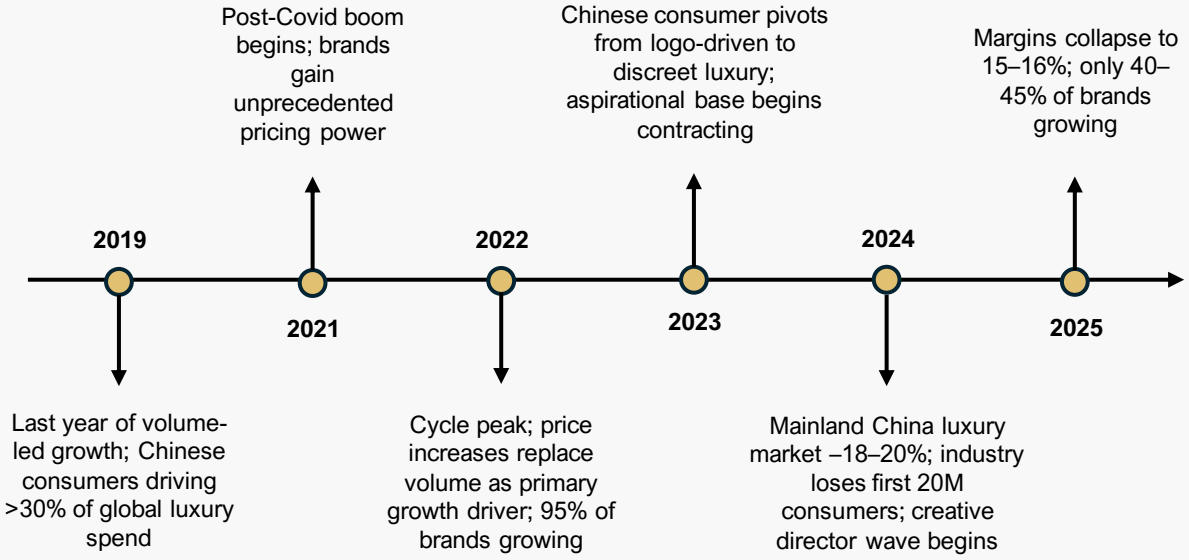
LUXURY MARKET SIZE

Growth is slower, but still resilient



LUXURY MARKET RESET

Multiple shocks compounded since 2019



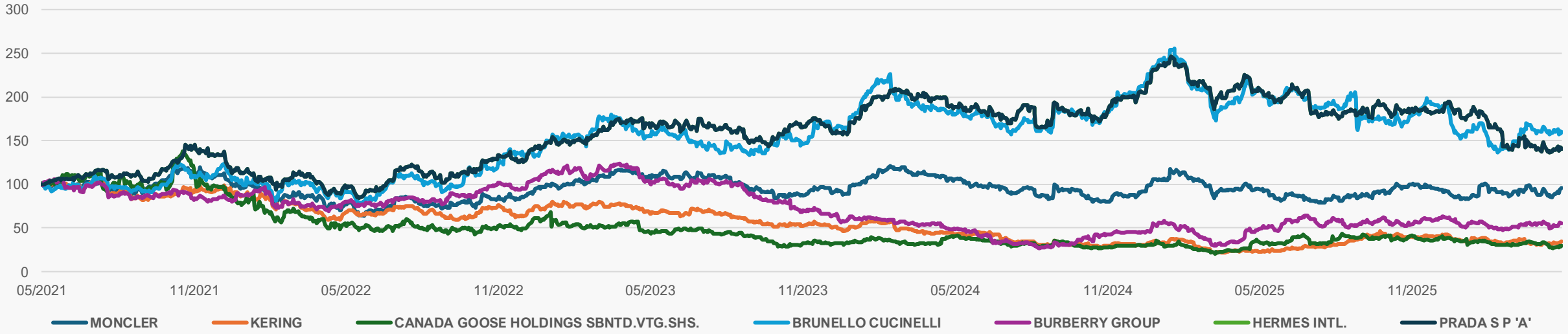
The reset was not a shock – it was a sequence of compounding structural shifts, each making the next more severe

~80,0%	–20M	15,0–16,0%
of industry growth in 2023–2025 was driven by price, not volume	consumers lost from the active luxury base in 2025 alone	industry EBIT margins in 2025, down from 21% in 2022

Sources: Bain & Company Luxury Goods Worldwide Market Study; McKinsey State of Fashion; Company reports.

Kering's Underperformance is Structural

Kering has significantly underperformed luxury peers – reflecting structural, not merely cyclical, challenges



	MONCLER	KERING	CANADA GOOSE	BRUNELLO CUCINELLI	BURBERRY	HERMÈS PARIS	PRADA	PEER AVERAGE
L1M	7,0%	4,3%	(12,0%)	2,7%	(4,9%)	2,30%	6,5%	0,84%
L3M	3,0%	(2,5%)	(12,0%)	16,0%	4,7%	(18,0%)	(2,8%)	(1,66%)
L6M	(2,1%)	13,0%	(25,0%)	8,6%	(7,0%)	(23,0%)	(16,0%)	(7,36%)
L12M	4,0%	40,0%	(16,0%)	(17,0%)	3,2%	(30,0%)	(25,0%)	(5,83%)
5Y	(4,3%)	(65,0%)	(75,0%)	68,0%	(46,0%)	36,0%	(32,0%)	(16,0%)

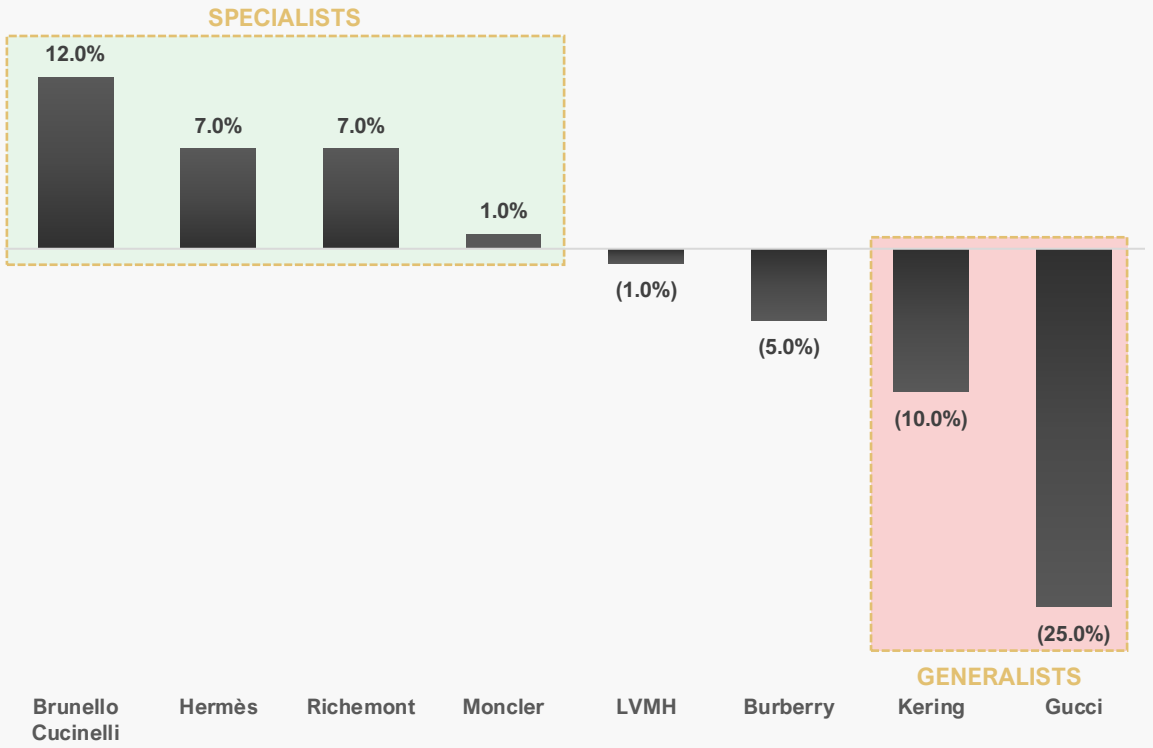
Sources: LSEG.

Specialists Win, Generalists Struggle

Brand clarity, category focus, and creative discipline are the primary drivers of outperformance.

SPECIALISTS ARE WINNING THE RECOVERY

Focused brands are outperforming generalists



40–45%

of luxury brands reported positive revenue growth in 2025, vs. 95% in 2022

>70%

of those that grew were specialist players

LUXURY OLD GROWTH IS OVER

Creative turnover signals strategic reset

GUCCI	Sabato de Sarno (2023-2025)	Demna (2025)
BALENCIAGA	Demna (2015-2025)	Pierpaolo Piccioli (2025)
CHANEL	Virginie Viard (2019-2024)	Matthieu Blazy (2024)
BOTTEGA VENETA	Matthieu Blazy (2021-2024)	Louise Trotter (2025)
Dior	Jones and Chiuri (2018-2025)	Jonathan Anderson (2025)
BALMAIN	Olivier Rousteing (2011-2025)	Antonin Tron (2025)
VERSACE	Donatella Versace (1997-2025)	Pieter Mulier (2026)
GIVENCHY	Matt Williams (2024-2024)	Sarah Burton (2024)

9 out of 15 top luxury brands changed Creative Director in the 12 months to Sep 2025

The wave of creative leadership changes reflects a structural acknowledgment that the previous growth model has run its course — scale and pricing alone are no longer sufficient.

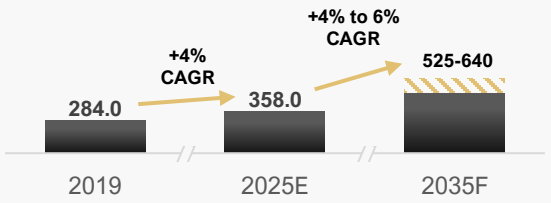
Sources: Bain & Company; Bernstein Research; McKinsey & Company; Company disclosures.

Structural Attractiveness Intact, but Growth is More Selective

A selective recovery in 2026 sets the stage for a decade of disciplined, geography-led expansion

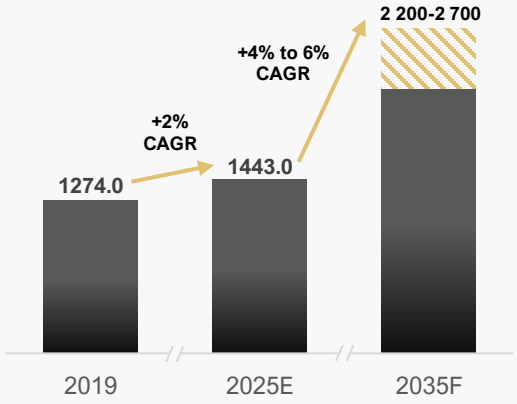
PERSONAL LUXURY GOODS MARKET

Long-term growth remains attractive



WORLDWIDE LUXURY SPENDING

Luxury demand still has long-term runway



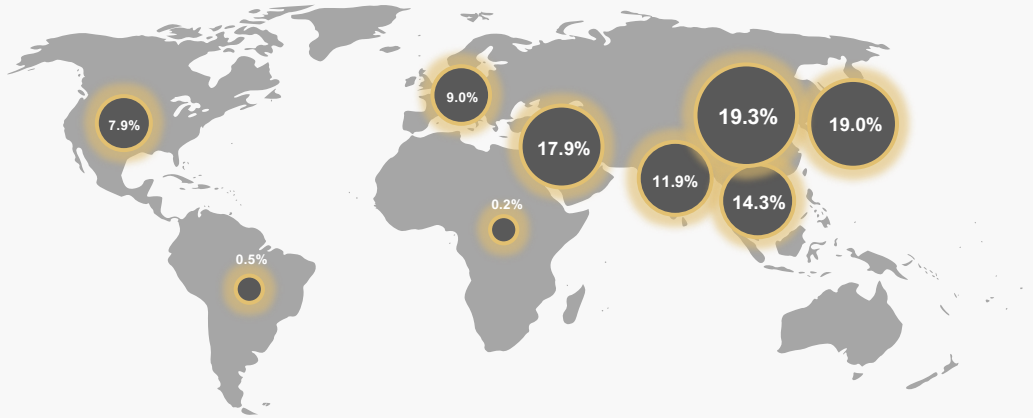
REGIONAL DEMAND GROWTH

Asia and the Middle East remain key growth pools

China	Consumer shift from logo-driven to discreet luxury; modest domestic recovery expected through 2027	Kering's core brands misaligned; Moncler's positioning fits the new Chinese consumer
Japan	Normalising after exceptional 2024; tourist spend declining but domestic demand stable	Moncler's 19% Asia growth contribution resilient despite market softness
Middle East	One of few regions with sustained UHNW growth; geopolitical risk from 2026 conflict	Outerwear less exposed than leather goods to regional disruption
US	UHNW spending robust; aspirational consumers pulling back sharply	Moncler's higher price point insulates it from aspirational contraction

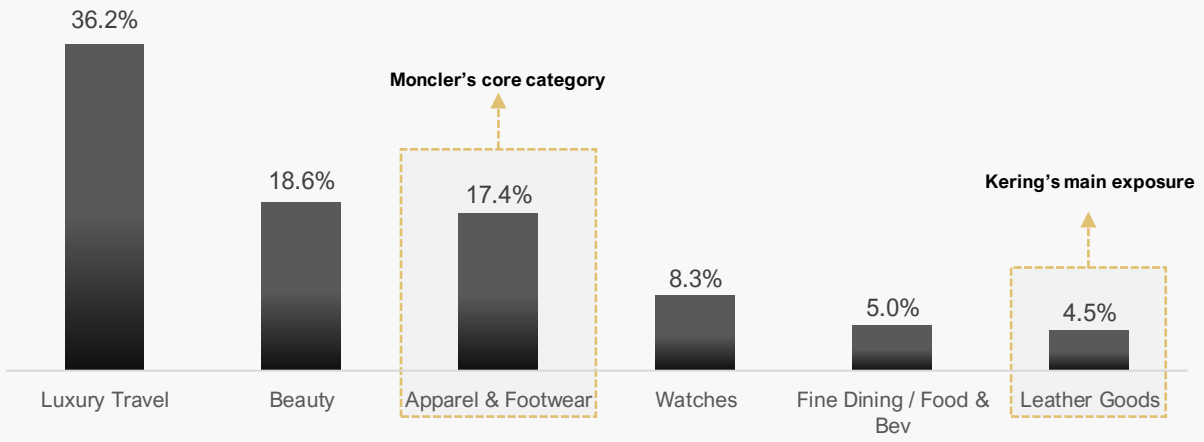
GEOGRAPHIC GROWTH OUTLOOK

Asia and the Middle East remain key growth pools



CATEGORY GROWTH OUTLOOK

Moncler is better exposed than leather goods-heavy peers



Sources: Bain & Company Luxury Goods Worldwide Market Study (2024); Euromonitor; Statista; Company reports.

Kering at a Glance

Kering: A Multi-Brand Luxury Platform at an Inflection Point

Strong brand portfolio, DTC-led model – but financial profile that had deteriorated sharply since 2022

BUSINESS OVERVIEW

PLG market size and long-term projection

Kering operates a **multi-brand luxury conglomerate model**, providing strategic, financial, and operational support to its Houses while preserving each brand's creative independence. Since divesting its Sport & Lifestyle division in 2018, the Group is fully focused on **pure-play luxury**, spanning fashion, leather goods, jewelry, and eyewear.

SHAREHOLDERS

Artémis / Pinault family holding company	Institutional investors	Individual shareholders	Treasury shares	Employees & executive corporate officers
42.3%	52.6%	4.2%	0.7%	0.2%

KEY FINANCIALS

	2021	2022	2023	2024	2025
Revenue (€M)	17 645	20 351	19 537	17 194	14 675
Var. YoY	35,2%	15,3%	(4,1%)	(12,3%)	(14,6%)
EBIT (€M)	5 035	5 589	4 748	2 564	1 631
EBIT Margin	28,5%	27,5%	24,3%	14,9%	11,1%
FCF (€M)	3 948	3 208	1 983	1 432	2 313

BRANDS

PLG market size and long-term projection

BOTTEGA VENETA · Brioni · Pomellato · GUCCI · BALENCIAGA · GINORI 1735 · YVES SAINT LAURENT · DoDo CHARMING JEWELRY · Alexander McQUEEN · BOUCHERON · qeelin · KERING EYEWEAR

LEADERSHIP CHANGES CREATES OPTIONALITY

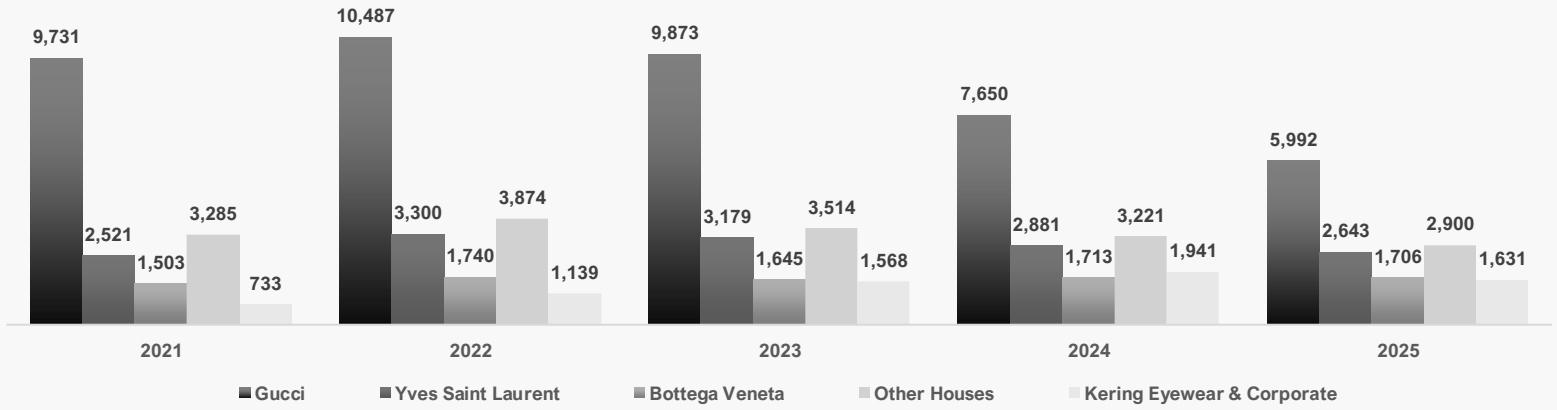
Execution risk remains elevated

KEY MANAGEMENT	
François-Henri Pinault	Chairman of the Board
Luca de Meo	Director & CEO
Patricia Barbizet	Director
Jean Liu	Director
Tidjane Thiam	Director

KEY BOARD OF DIRECTORS	
François-Henri Pinault	Executive Chairman
Luca de Meo	CEO
Jean-Marc Duplaix	Deputy CEO
Armelle Poulou	CFO
Francesca Bellettini	Deputy CEO

KERING REVENUE BY BRAND

Gucci remains the driver of group pressure



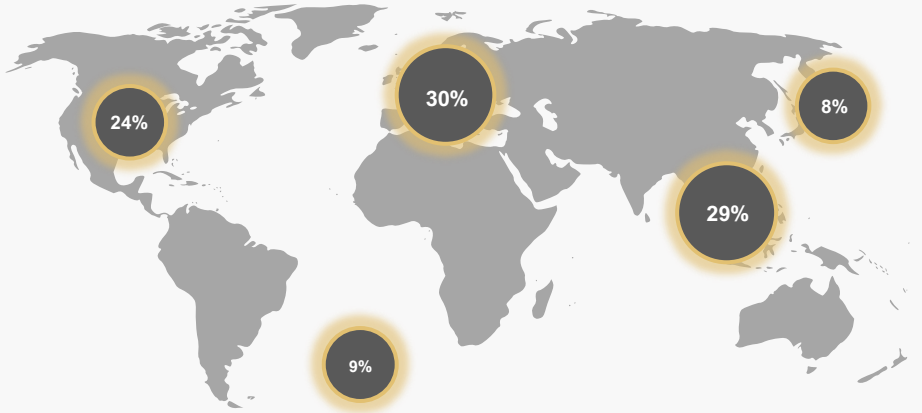
Sources: Kering Annual Reports (2021–2024); Kering FY2025 Guidance & Investor Presentations; Company filings and investor relations disclosures.

Three Structural Vulnerabilities, Not One Cyclical Problem

Gucci concentration, Chinese consumer misalignment, and category exposure have compounded each other

KERING REVENUE BY REGION

Asia-Pacific weakness has reshaped the group mix



Western Europe grew +13% in absolute terms (€3,882M to €4,403M), a resilient performance given the group lost 17% of total revenue. Asia-Pacific, however, collapsed -38% (€6,882M to €4,256M), wiping out €2,626M, nearly 5x the European gain. The China slowdown post-COVID reopening was the primary culprit.

Western Europe's share rising from 22% to 30% is therefore more a consequence of Asia's decline than a genuine European expansion. Europe grew modestly in absolute terms, but its mix weight increased primarily because the Asian revenue base collapsed beneath it.

KERING REVENUE BY CATEGORY

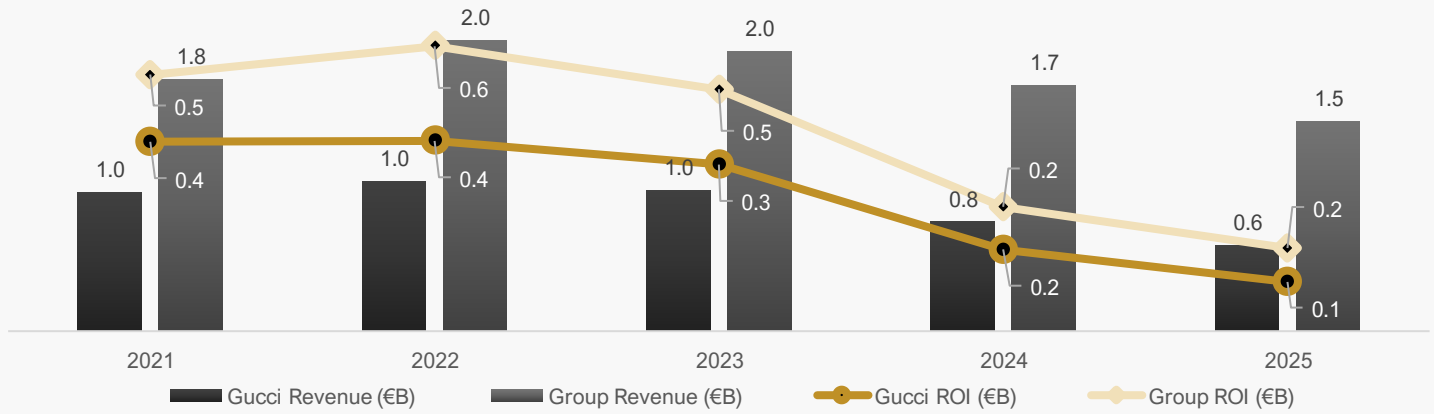
Category mix demand-sensitive



Leather goods alone account for ~50% of Kering's revenue — the single category most sensitive to Chinese consumer demand and tourist spending.

GUCCI VS. GROUP ROI

Gucci's decline continues to pressure group returns



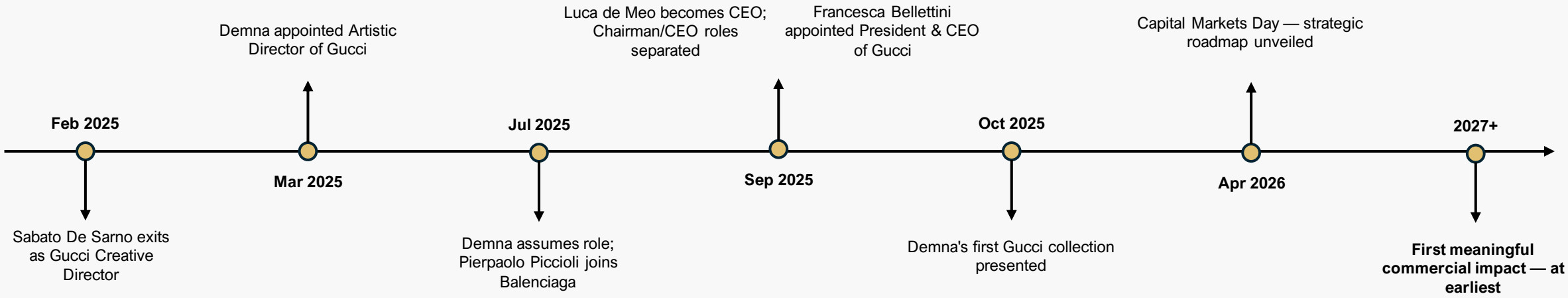
Sources: Kering Annual Reports; Statista. Leather goods share estimated based on Kering brand revenue mix and per-brand product category breakdown (FY2021–2023).

The Reset is Real - But Organic Recovery has Limits

A credible leadership overhaul is underway, but structural gaps in portfolio quality remain unadressed

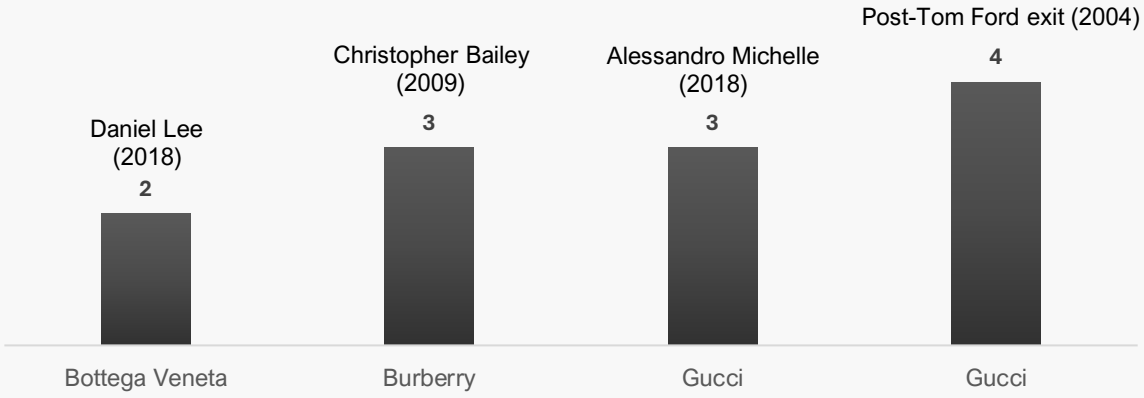
GUCCI'S TURNAROUND TIMELINE

Commercial impact is not immediate



LUXURY BRAND RESET TIMELINES

Comparable turnarounds typically take several years



Each prior transition required 3–4 years before commercial impact materialized. Kering enters this cycle with Gucci still accounting for the majority of Group earnings — meaning the portfolio lacks the diversification to absorb a prolonged reset without meaningful pressure on consolidated margins.

Sources: Kering press releases (GlobeNewswire, 2025–2026); WWD; Business of Fashion; Kering Annual Reports 2015–2017; Gucci Group SEC Filing (Form 6-K, 2004); Sanford C. Bernstein via BoF.

Moncler at a Glance

Moncler Group: A Focused Luxury Specialist with a 20-Year Brand Vision

A dual-brand platform, DTC-led model, and brand-first strategy consistently executed since 2023

BUSINESS OVERVIEW

Pure-play luxury outerwear gour

Moncler Group operates a two-brand luxury model, providing strategic, financial, and operational support to its Houses while preserving each brand's creative independence. Since acquiring Stone Island in 2021, the Group has evolved into a multi-brand platform fully focused on premium outerwear and sportswear, spanning ready-to-wear, accessories, and footwear.

SHAREHOLDERS

Double R	Rivetti (Grinta)	Temasek	BlackRock	Free float
16.5%	12%	4%	1.6%	66%

KEY FINANCIALS

	2021	2022	2023	2024	2025
Revenue (€M)	2 046	2 602	2 984	3 108	3 132
Var. YoY	+44%	+27%	+15%	+4%	+1%
EBIT (€M)	603	774	894	916	913
EBIT Margin	29,5%	29,8%	30,0%	29,5%	29,2%
FCF (€M)	550	327	549	587	529

BRANDS

Two-brand focused platform

MANAGEMENT TEAM

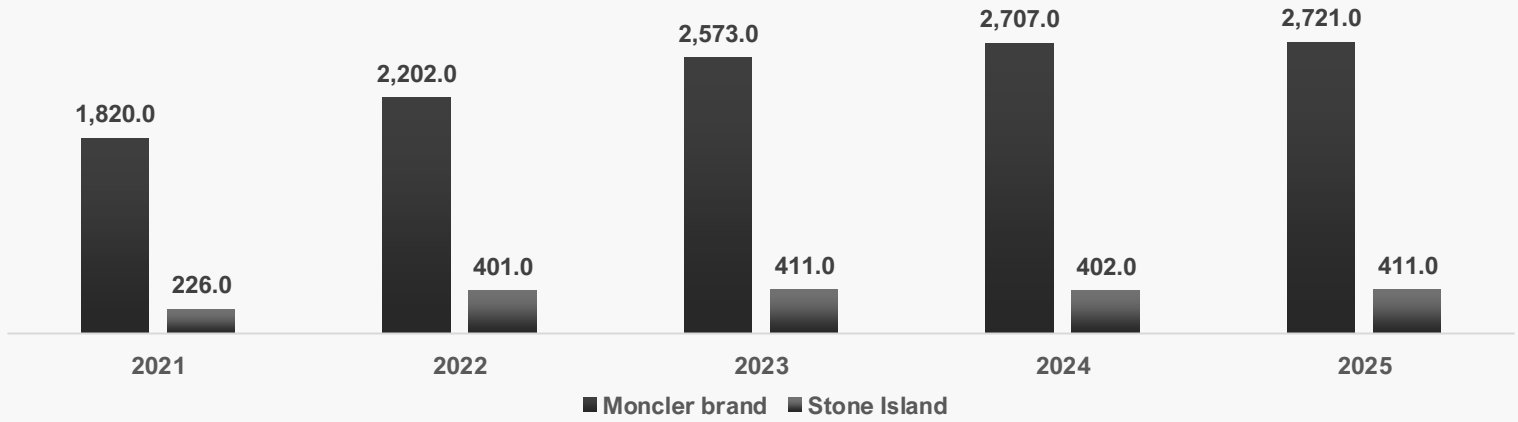
Continuity protects brand equity

KEY MANAGEMENT	
Remo Ruffini	Executive Chairman
Bartolomeo Rongone	Group CEO
Luciano Santel	Director
Roberto Eggs	Director
Gino Fisanotti	Director

KEY BOARD OF DIRECTORS	
Remo Ruffini	Executive Chairman
Bartolomeo Rongone	Group CEO
Marco De Benedetti	Vice-Chairman
Alexandre Arnault	Director
Alessandra Gritti	Lead Ind. Director
Luciano Santel	Director

MONCLER REVENUE BY BRAND

Stone Island adds a second growth platform



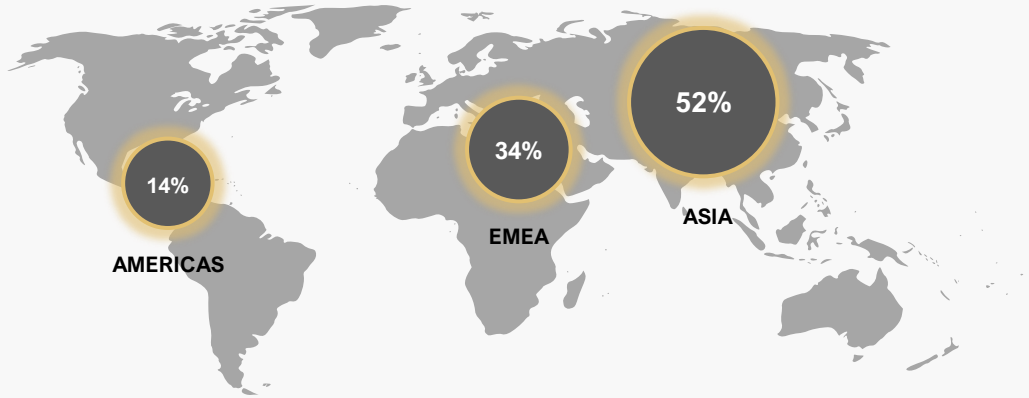
Sources: Moncler Annual Reports 2021–2024; FY2025 Guidance & Investor Presentations; Company filings and investor relations disclosures.

Moncler Gained Asian Market Share – Even When the Market Declined

Rising Asian revenue against a declining regional market – structural advantage, not cyclical exposure

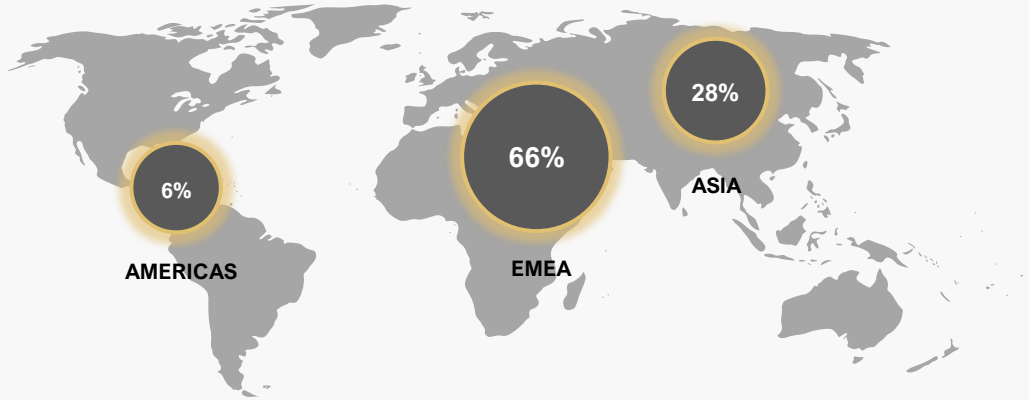
MONCLER REVENUE BY GEOGRAPHY

Asia is the brand's largest regional



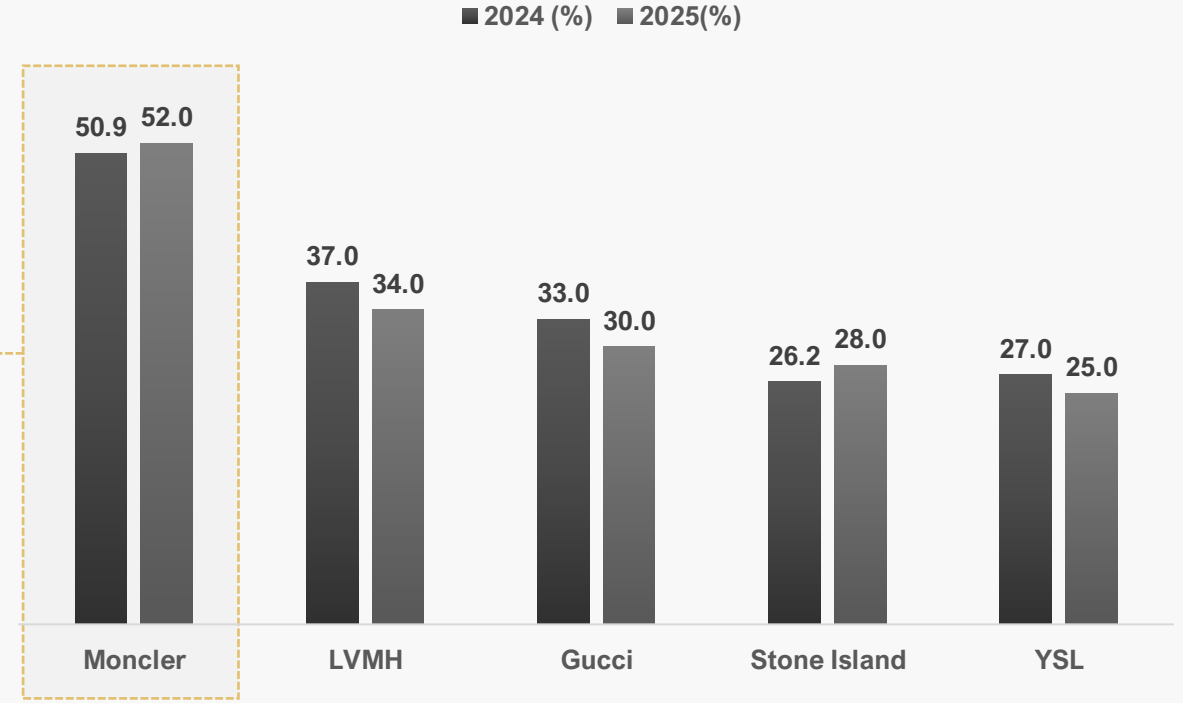
STONE ISLAND REVENUE BY GEOGRAPHY

EMEA exposure diversifies the group



ASIA REVENUE EXPOSURE

Asian relevance is structurally stronger



Moncler maintains the highest exposure to Asia and continues to increase its share, reaching 52% in 2025.

Peers (LVMH, Gucci, YSL) show declining or lower exposure, reinforcing Moncler's superior position in this market.

Sources: Moncler, LVMH and Kering Annual Reports 2024–2025; Investor Relations materials; Bain & Company.

A Category Moat With No Scaled Competitor

Moncler occupies a unique position at the intersection of luxury, fashion, and technical performance



No scaled competitor exists at the intersection of luxury and technical outerwear — Moncler's moat is structural, not cyclical

WHAT MONCLER ADDS TO KERING

Better category, geography, and margins

Complementary category: adds luxury performance outerwear, not another fashion maison

Limited cannibalization: minimal overlap with Gucci, Saint Laurent, Bottega Veneta or Balenciaga

Stronger diversification: reduces reliance on fashion-led brand cycles

Clear strategic white space: Kering lacks a scaled technical luxury brand

Italian luxury angle reinforces Kering's exposure to high-end Italian craftsmanship

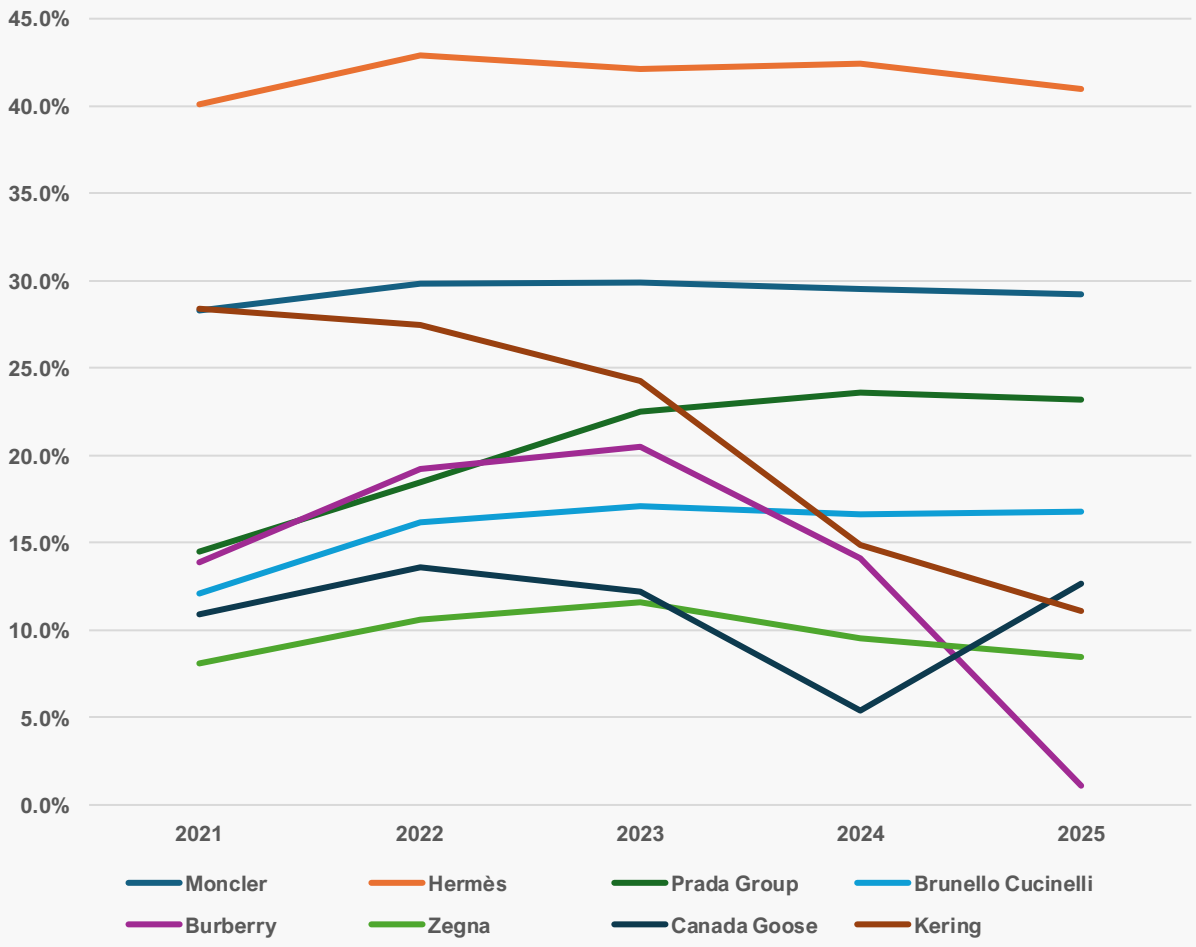
Sources: CLIP.

29% EBIT Margins Sustained While the Industry Fell to 15-16%

Pricing power, cost discipline, and category resilience have produced a profitability profile with no direct peer

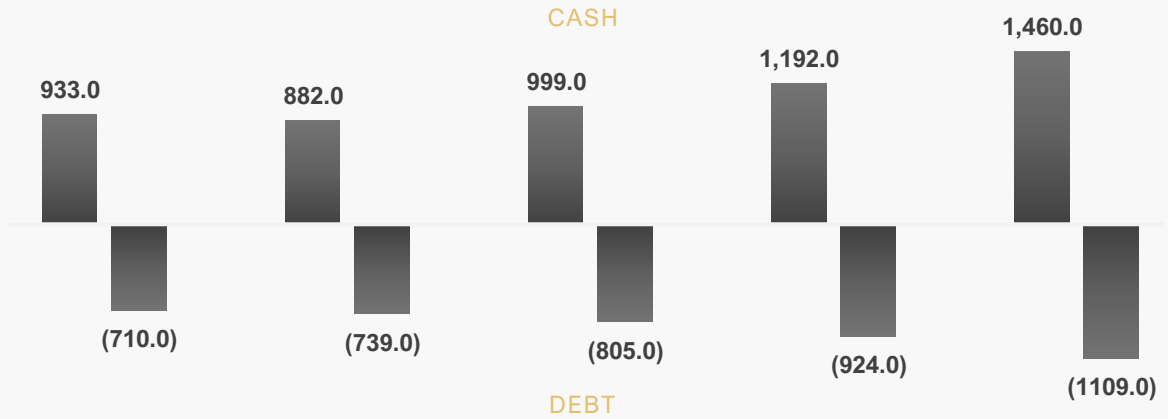
EBIT MARGIN COMPARISON

Moncler margins have remained stable while peers compressed



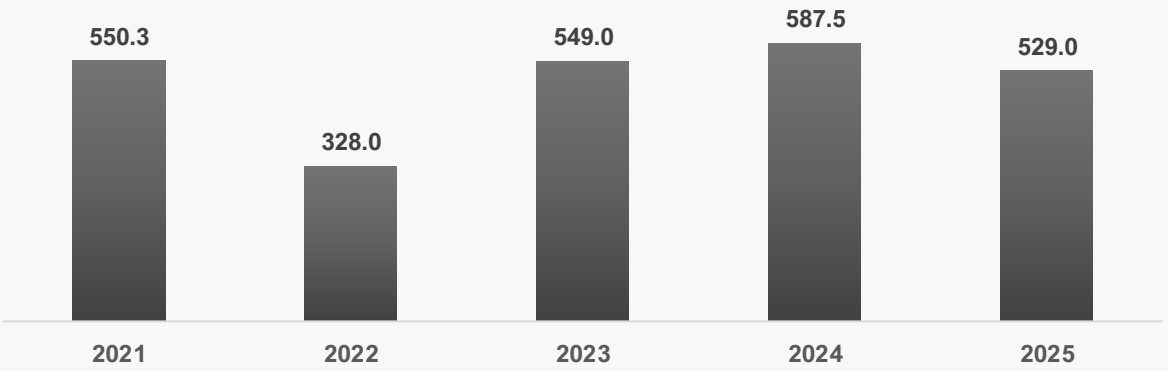
MONCLER CASH AND DEBT POSITION

Balance sheet strength supports the quality of the asset



MONCLER FREE CASH FLOW

Cash generation remains strong and consistent



Sources: Moncler and peer company annual reports 2021–2025.

Transaction Rationales

Moncler Addresses Every Structural Weakness in Kering's Portfolio

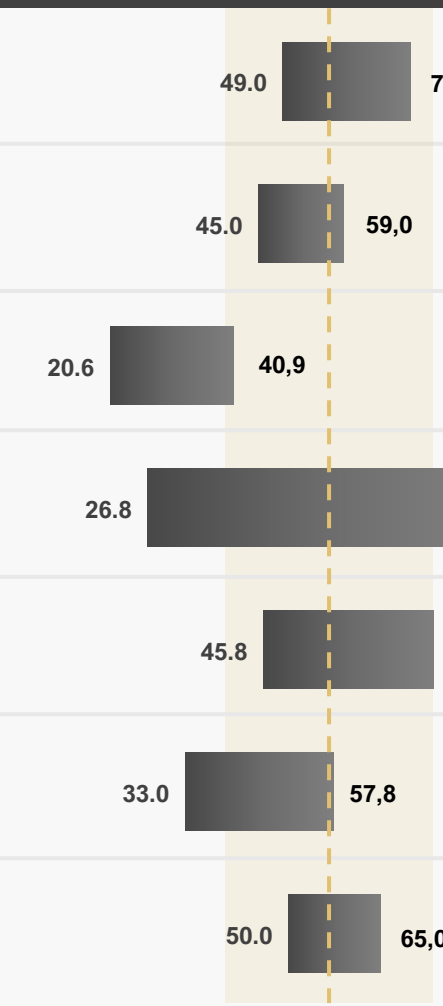
The acquisition is not a diversification play – it is a strategic reweighting toward the part of luxury that is already winning

Kering structural weakness	Why it matters	Moncler solution	Strategic implication
Overdependence on Gucci	Gucci remains Kering's largest earnings engine, but its revenue declined from €10.5bn in 2022 to €6.0bn in 2025, creating disproportionate pressure on the group.	Moncler adds a large, profitable and globally recognized brand with a distinct identity.	Reduces concentration risk and improves the quality of Kering's portfolio.
Portfolio exposed to crowded luxury categories	Kering is heavily exposed to leather goods, fashion and broader luxury categories where competition is intense and desirability can shift quickly.	Moncler brings a specialist outerwear platform with strong authority in a less crowded niche.	Gives Kering access to a more defensible source of brand equity and growth.
Margin pressure and weaker earnings quality	The luxury sector is shifting toward margin defense, discipline and resilience rather than pure top-line expansion.	Moncler has maintained EBIT margins around 29%, while industry margins fell toward 15–16% in 2025.	Strengthens Kering's profitability profile, not only its revenue base.
Weakness in Asian demand and Chinese consumer shift	Kering has been affected by softer Asian demand and by the move away from visible, logo-driven luxury.	Moncler increased Asia's share of group sales from 42.6% in 2022 to 48.9% in 2025.	Reconnects Kering with a growth region through a brand already gaining traction in tougher conditions.
Ongoing creative and leadership reset	Gucci's turnaround remains incomplete after multiple creative and executive changes between 2022 and 2025.	Moncler offers a stable, brand-first model built around heritage, product focus and disciplined expansion.	Adds resilience and reduces reliance on uncertain internal turnaround execution.
Integration risk in luxury M&A	Luxury deals can destroy value if brand identity is diluted or integration is too aggressive.	Moncler already operates a focused dual-brand model with shared central functions and brand autonomy.	Strong operating fit with Kering's autonomous brand platform, limiting integration risk.

Sources: CLIP.

Valuation

Football field analysis across seven methodologies supports a premium of 20%



Implied Share Price Value	FV Low	FV High	Implied FV Low	Implied FV High	Comments
Analyst Targets (25 analysts)	12 969,0	18 670,0	13 302,0	19 003,0	Targets of **€49–70/sh** imply upside, supported by growth and margin resilience
52-Week Market Range	11 883,0	15 684,0	12 216,0	16 017,0	**€45–59/sh** range provides unaffected trading anchor; current price near upper half
DDM (Ke/g sensitivity)	5 264,0	10 778,0	5 597,0	11 111,0	**€20,6–40,9/sh** output is conservative; low relevance given limited dividend yield
Precedent Transactions — EV/EBITDA	6 948,0	21 267,0	7 281,0	21 600,0	**€26,8–79,6/sh** range reflects high dispersion across luxury M&A precedents
P/E (NTM) — Trading Comps	12 113,0	19 690,0	12 446,0	20 023,0	**€45,8–73,8/sh** supports premium valuation driven by earnings quality and brand strength
EV / EBITDA (NTM) — Trading Comps	8 619,0	15 216,0	8 952,0	15 549,0	**€33,0–57,8/sh** provides conservative market anchor versus P/E-based valuation
DCF — Multiples Method	13 229,0	17 318,0	13 562,0	17 651,0	**€50–65/sh** supports upside, but remains sensitive to terminal multiple assumptions

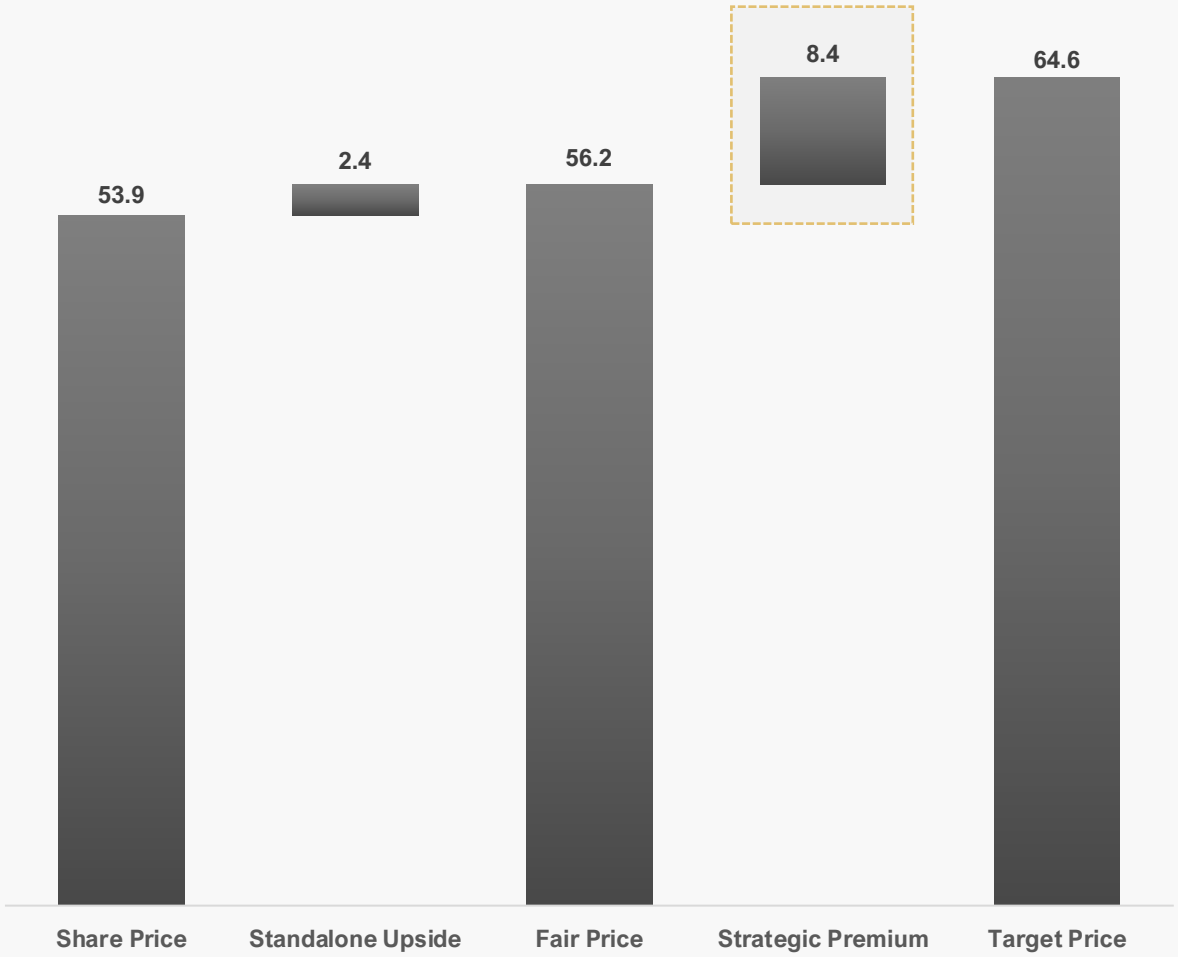
Sources: CLIP; Investing.com.

The Transaction is Accretive and Value-Creative

Acquisition case supported by strategic premium to standalone value and positive EPS contribution as synergies ramp up

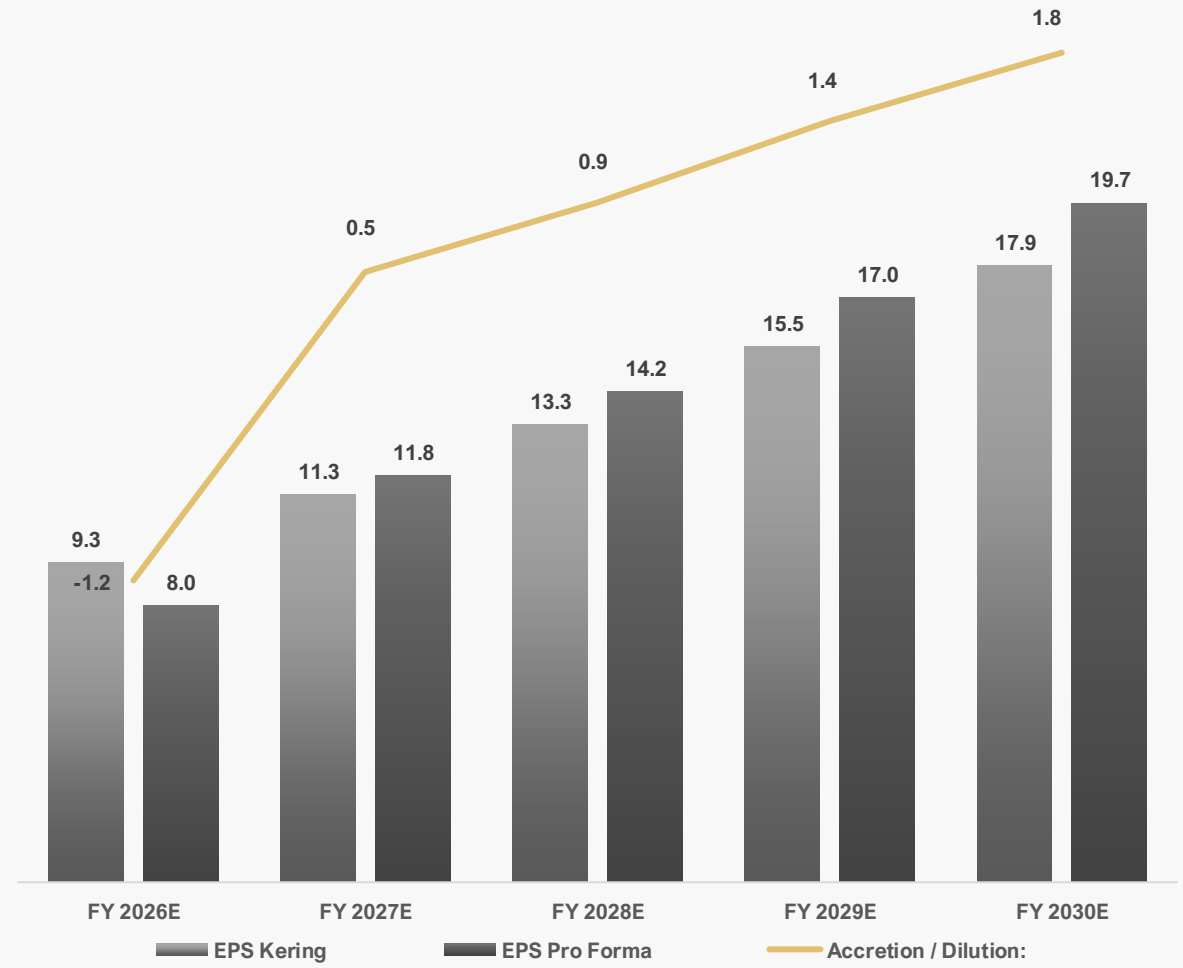
VALUE CREATION

Target price reflects standalone upside plus strategic value attributed to the transaction



ACCRETION / DILUTION

Earnings accretion supported by Moncler's margin profile and gradual synergy realization



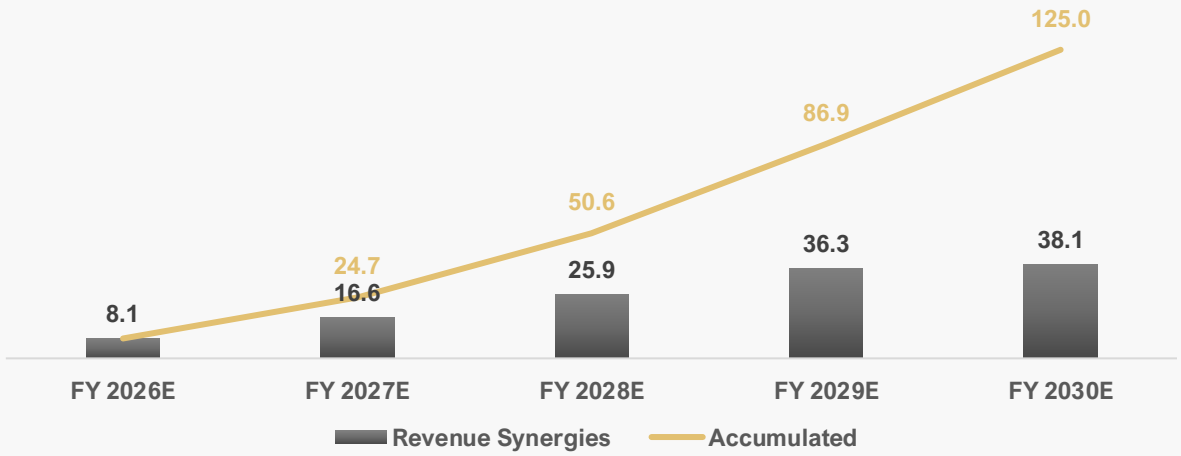
Sources: CLIP.

Synergies

Operating compability creates efficiency gains – the strategic case stands independently

REVENUE SYNERGIES

Commercial upside should be treated conservatively

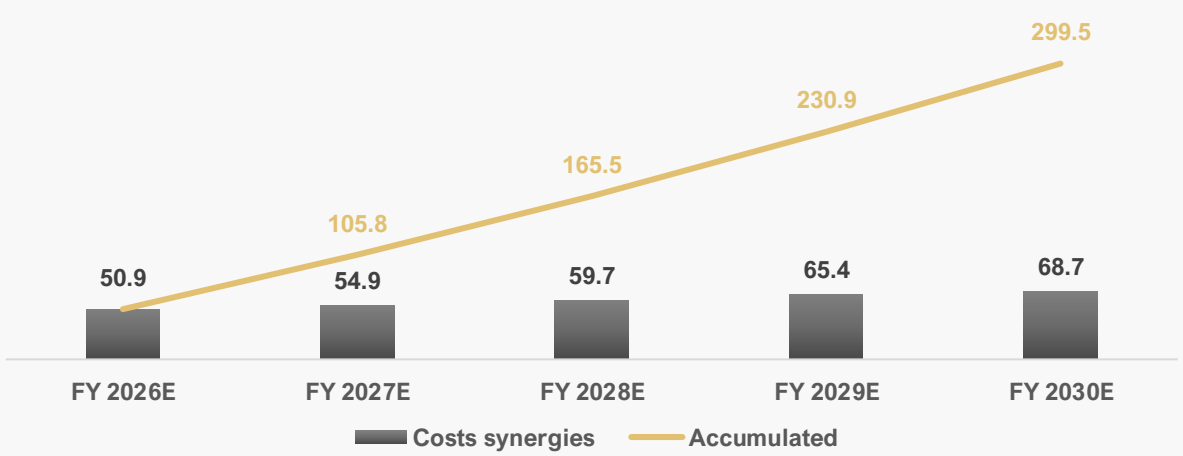


Assumes incremental revenue uplift of 1.0% of Moncler standalone revenue, phased in at 25% / 50% / 75% / 100% / 100% from FY2026E to FY2030E.

€m	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Standalone Revenue	3 226,1	3 322,9	3 455,8	3 628,6	3 810,0
Revenue Synergies	8,1	16,6	25,9	36,3	38,1
Post-Synergies Revenue	3 234,2	3 339,5	3 481,7	3 664,9	3 848,1

COSTS SYNERGIES

Efficiencies be captured without brand dilution



Assumes operating cost efficiencies of 5.0% of OpEx, phased in at 40% / 70% / 90% / 100% / 100%, with revenue-related COGS impact reflected separately.

€m	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Standalone Costs	1 874,6	1 906,4	1 951,6	2 017,5	2 105,8
Costs Synergies	50.9	54.9	59.7	65.4	68.7
Post-Synergies Costs	1 874,6	1 886,4	1 914,2	1 965,0	2 040,4

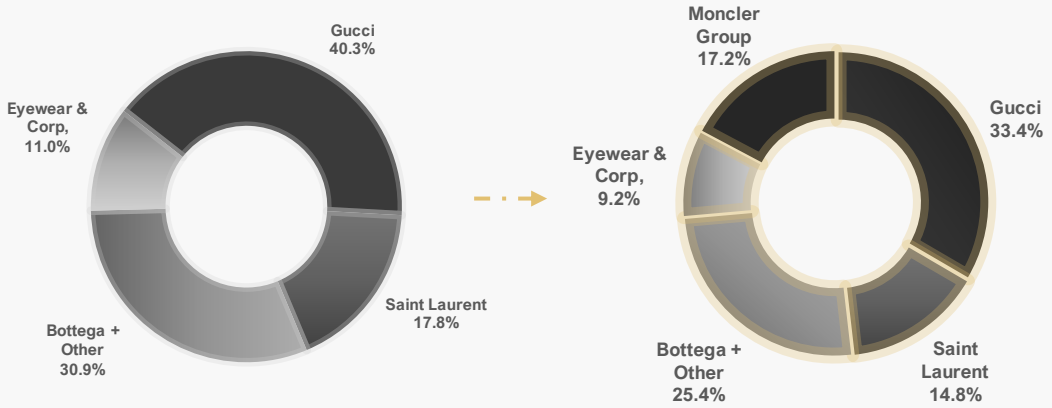
Sources: CLIP.

The Combined Group: More Balanced, More Profitable

€4.9Bn combined EBITDA on €17.8Bn revenue; pro-forma leverage of 2.9× at close

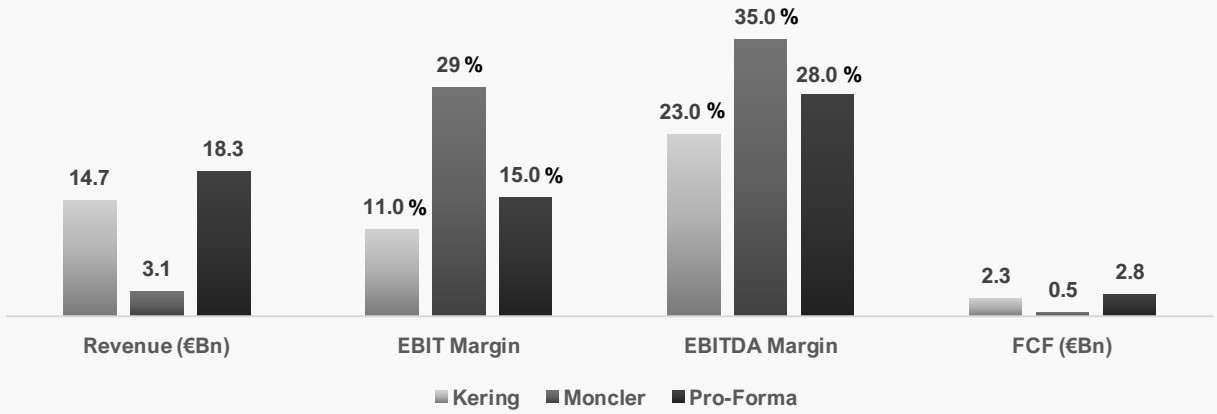
PRO-FORMA REVENUE MIX BY MAISON

2026E revenue contribution by brand, pre- and post- acquisition



PRO-FORMA SCALE MARGINS AND CASH FLOW

2026E comparison of Kering standalone, Moncler standalone and combined group



PRO-FORMA FINANCIAL PROFILE

2026E bridge from standalone financials to combined group pro-forma profile

	Kering 2025A	Moncler 2025A	PF Adjustments	Pro-Forma 2026E
Revenue (€M)	14 675,0	3132,1	+534,0 (organic growth)	18 341,0
EBIT (€M)	1 631,0	913,0	+352,0 (growth + synergies – PPA)	2 904,0
EBIT Margin	11,1%	29,4%	—	15,8%
D&A (€M)	(2 044,0)	(337,0)	(226) (growth +PPA 210M)	(2 607,0)
EBITDA (€M)	3 675,0	1258,0	+578,0	5 511,0
EBITDA Margin	25,0%	40,2%	—	30,0%
Net Debt (€M)	5 500,0	(332,0)	+8904,0 (new debt)	14 072,0
Net Debt / EBITDA	~1,5×	neg.	—	2,85×
FCF (€M)	2313	529,0	—	2 829,0

Sources: Moncler annual report; CLIP.

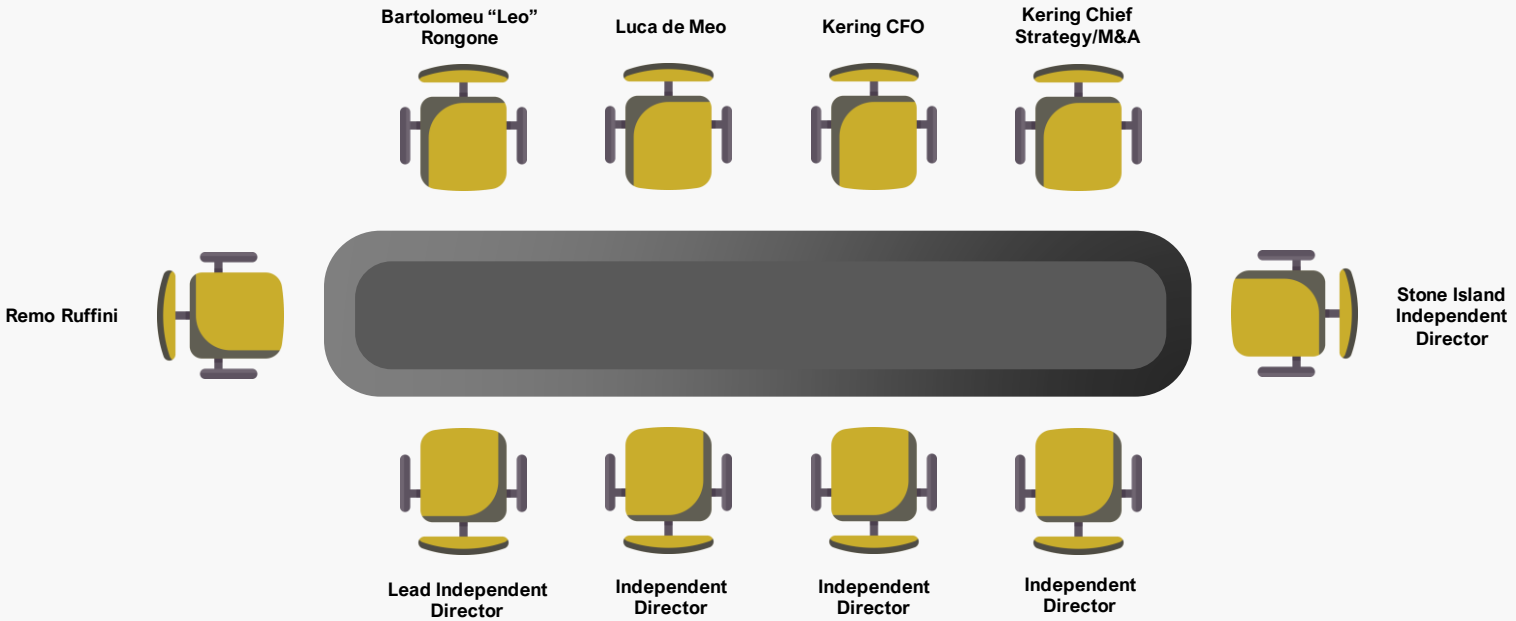
Transaction Structure

Governance Design Is a Value Preservation Condition, Not a Detail

Ruffini's alignment and brand independence must be structurally guaranteed – not assumed

PROPOSED GOVERNANCE STRUCTURE

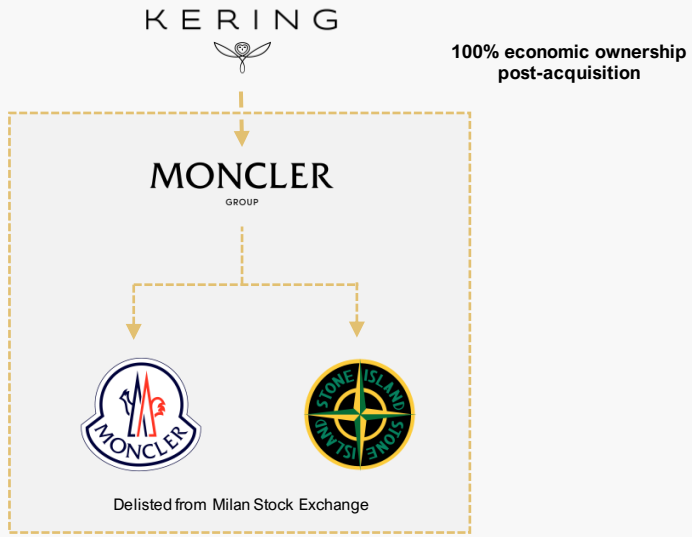
Control must be balanced with Moncler autonomy



A **10-member Moncler Group Board** should balance **Kering's control** with **Ruffini's brand stewardship**. A mix of **3 Kering representatives, 2 Moncler executives and 5 independent directors** would give Kering oversight on capital allocation, integration and reporting, while preserving Moncler's creative autonomy and founder-led culture.

GOVERNANCE STRUCTURE

Post-acquisition



PROPOSED OWNERSHIP STRUCTURE

A take-private enables cleaner strategic control

Shareholder	Pre-Deal	Post-Deal
Kering S.A.	0,0%	100,0%
Double R / Ruffini	16,5%	0,0% (cashed out)
LVMH (via Double R)	1,6% indirect	0,0%
Free float	81,9%	0,0% (delisted)

Sources: CLIP; Freepik, Flaticon.

A Financing Structure Within Investment-Grade Constraints

Financing structure peaks at c.2.9× ND/EBITDA in FY2026E within the 3.0× BBB+ threshold, deleveraging to c.1.4× by FY2030E

SOURCES AND USES

€4.0Bn Beauté proceeds minimize new debt; 5% stock aligns Ruffini

Transaction	
Offer Price per Share	64,6 €
Current Share Price	53,8 €
Acquisition Premium	20,0%
Transaction Fee % (of Equity Purchase Price)	1,5%

Financing	Amount (€M)	% of Total
% Cash Consideration		45,0%
% Debt-Funded		50,0%
%Stock Consideration		5,0%

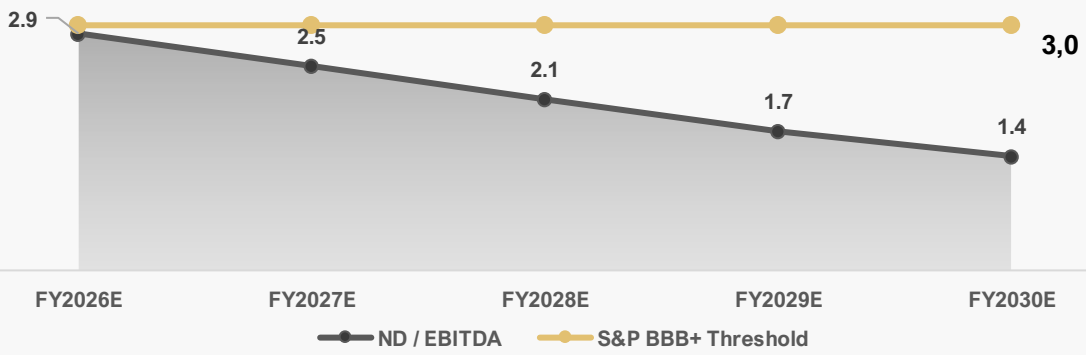
Uses of Funds	Amount (€M)	% of Total
Equity Purchase Price	17 545,6	99,0%
Transaction Fees & Expenses	263,2	1,0%
Total Uses	17 808,8	100,0%

Sources of Funds	Amount (€M)	% of Total
Cash	8 014,0	45,0%
Debt	8 904,4	50,0%
Stock	890,4	5,0%
Total Sources	17 808,8	100,0%

CREDIT PROFILE

Leverage peaks at 2.9× within BBB+ threshold, restoring headroom by FY2028E

Kering net debt — standalone (H1 2025A)	**9.500,0**
(–) Beauté divestment proceeds	(4.000,0)
Kering net debt — post-Beauté	**5.500,0**
(+) New debt issued for transaction	+8.904,0
(–) Moncler net cash assumed	(332,0)
Pro-forma combined net debt	**14.072,0**
Kering EBITDA FY2025A (continuing ops)	3.675,0
Moncler EBITDA FY2025A	1.258,0
Combined EBITDA	**4.933,0**
Pro-forma ND/EBITDA	**2,85×**

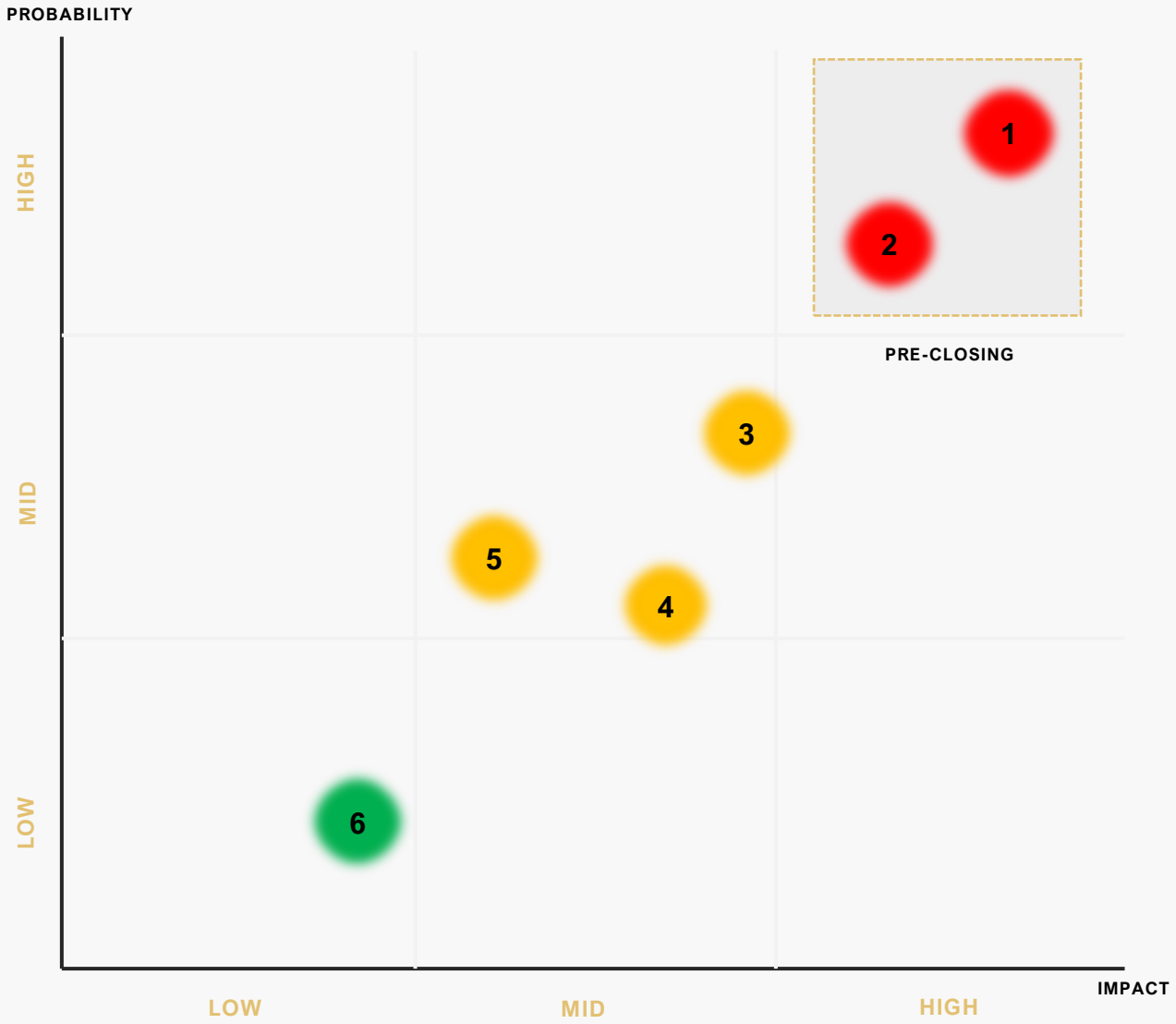


Sources: CLIP.

Risks & Mitigations

All Risks Are Manageable – but Two Require Pre-Closing Resolution

Mitigations are structural – embedded in deal terms, governance, and financing



#	Risk	Prob.	Impact	Mitigation	Residual
1	**Ruffini / Governance**	**High**	Critical	Stock consideration aligns incentives; board seat secured; Ruffini retained as Executive Chairman; pre-closing governance agreement includes veto rights over key brand decisions	Medium
2	**LVMH minority stake**	**Med-High**	High	Private negotiation with LVMH on Moncler position; change-of-control provisions reviewed; exit premium offered to eliminate conflicting stake prior to close	Medium
3	**Gucci deterioration**	**Medium**	High	Deal underwritten on Moncler standalone FCF of c.€529m p.a.; debt service not dependent on Gucci recovery; expected H2 2026 rebound supports deleveraging	Medium
4	**Brand dilution**	**Low-Med**	Medium	Full operational autonomy preserved; Moncler reported separately; Kering house-of-brands model supports coexistence without brand dilution	Low
5	**Leverage / BBB+**	**Medium**	Medium	€4.0Bn Beauté proceeds cap new debt at €8.9Bn. Leverage of 2.9× at close — within BBB+ — deleverages to 1.4× by FY2030E.	Very Low
6	**Regulatory**	**Low**	Low-Med	No product / geographic overlap; LVMH / Tiffany and Richemont / Delvaux precedents approved without remedies; Phase I clearance expected within 90 days	Very Low

Sources: CLIP.

Recommendation

We Recommend Acquiring Moncler Group

Strategic rationale, financial accretion and market timing support moving forward, subject to key execution safeguards

WHY WE RECOMMEND

Strategic, financial and timing considerations support pursuing the transaction now

Strategically, this is the right asset

Moncler is the only available luxury asset that simultaneously reduces Gucci concentration, adds specialist category authority in an uncrowded niche, and is already gaining Asian market share under conditions that are hurting Kering. No other target addresses all six vulnerabilities at once.

Financially, the case is executable and accretive

Pro-forma leverage of 2.9× ND/EBITDA at close deleverages to ~2.1× by FY2028E and ~1.4× by FY2030E, inside the 3.0× ceiling for BBB+ rating and well below the 3.5× covenant threshold

The timing will not improve

Moncler currently trades at ~12× EV/EBITDA, near its 5-year trough of 13.5× (Dec 2024) and ~55% below its 2021 peak of ~27×. Kering's new CEO Luca de Meo has a fresh transformation mandate and the political capital to act in his first 12 months. The 2026 luxury recovery is underway but not yet fully priced into Moncler's multiple. LVMH's indirect stake via Double R creates a competitive overhang that does not diminish with delay.

CONDITIONS TO BE SATISFIED

Key pre-announcement conditions required to de-risk execution and preserve transaction value

1. Ruffini alignment

Private approach to Remo Ruffini is a precondition to any public announcement — a hostile offer is structurally implausible and value-destructive.

2. Financing commitment

Underwriting of equity raise (5%) and debt tranche (50%) mandated before public announcement. L'Oréal proceeds pre-fund the cash component (45%).

3. LVMH / Double R legal review

Legal review of Double R shareholder agreement and Alexandre Arnault board rights — pre-emption exposure must be resolved before signing.

4. Rating agency pre-notification

Present pro-forma deleveraging to S&P/Moody's before announcement to protect BBB+ floor and avoid negative watch placement

The acquisition offers compelling strategic rationale, manageable residual risks, and significant long-term value creation potential. Key transaction protections materially mitigate execution and integration risks, supporting a favourable risk-return profile.

Sources: CLIP.

Advisory Team



António Pinto Bastos
President



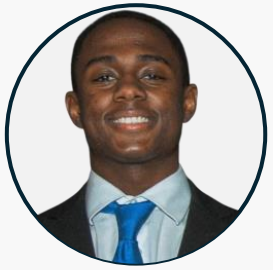
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